Massachusetts (:)

9M 2026 Gambling Market & Regulatory Brief · Published 20 Oct 2026 (MGC September 2026 Revenue Report; 9M = Jan–Sep 2026) · Currency USD (market reports in USD; tables in $m unless stated)

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Prepared: 6 Nov 2026
B2Tech · via Merlin

THE ONE-LINE VERDICT

Massachusetts is a ~$2.0bn (LTM taxable gaming revenue) mature, closed, high-margin market whose growth engine has downshifted: 9M 2026 sports handle rose only 2.0% to $5.99bn (online $5.93bn), with taxable sports revenue +6.0% to $611m carried entirely by hold expansion (10.2% vs 9.8%), while land-based casino GGR fell 2.4% to $880m on Encore weakness. The commercial picture is a DraftKings/FanDuel fortress (74.5% of handle, 78.5% of revenue) under a regulator that is now the most interventionist in the US on bettor limits and enforcement, with a live 51%-tax / prop-ban bill (S.302) and no iGaming path before 2027 — attractive for incumbents' margins, unattractive for a new entrant.

9M-26 SPORTS HANDLE	9M-26 TAXABLE SPORTS REVENUE (GGR-BASIS)	9M-26 CASINO GGR (3 PROPERTIES)	9M-26 COMBINED TAXABLE GAMING REVENUE	9M-26 STATE TAX TAKE (SW + CASINO)	DRAFTKINGS + FANDUEL SHARE OF HANDLE
$5.99bn	**$611.4m**	**$879.8m**	**$1,491m**	**$374.6m**	**74.5%**
+2.0% YoY (online $5.93bn, +2.3%)	+6.0% YoY; hold 10.20% vs 9.82%	-2.4% YoY; Encore -4.7%	+0.8% YoY; sports = 41%	+0.5% YoY (SW $122.0m, casino $252.6m)	revenue share 78.5%; 7 online books live

1 EXECUTIVE SUMMARY

- **Market size and shape — ~$2.05bn LTM taxable gaming revenue, 9M 2026 $1,491m (+0.8% YoY).** Composed of $611.4m taxable sports wagering revenue (GGR-basis, +6.0%) and $879.8m land-based casino GGR (-2.4%). Sports is now 41.0% of the regulated base (38.7% a year ago); there is no legal online casino. Source: MGC September 2026 and September 2025 revenue reports, summed Jan–Sep.
- **Sports handle growth has effectively stalled: 9M 2026 handle $5,994m, +2.0% YoY; online $5,927m, +2.3%.** Quarterly: Q1 $2,132m (-1.4%), Q2 $1,926m (+2.5%), Q3 $1,937m (+5.5%). September 2026 handle was $772.9m, -3.4% YoY — the first September decline since the March 2023 launch. FY2025 handle was $8,529m, so 2026 is tracking roughly flat-to-low-single-digit growth.
- **Revenue is outgrowing handle purely on hold: 9M hold 10.20% vs 9.82% (+38bp); September hold 9.21% vs 6.54%.** Taxable sports revenue rose 6.0% to $611.4m and September revenue jumped 36.0% to $71.2m on a smaller handle — classic parlay/SGP mix and favourable results, not volume. Treat the 9M growth rate as fragile: Q2 revenue was -1.0% YoY even with a 10.7% hold.
- **Online is the whole sports market: 98.9% of handle and 99.1% of taxable revenue.** Retail (three casino sportsbooks) took $67.3m handle in 9M 2026 (-19.4%) for $5.2m revenue; September retail handle fell 37.7%. Retail sports is commercially irrelevant except as the tether for casino-linked online skins.
- **A two-operator fortress: DraftKings 49.5% of handle / 50.8% of revenue; FanDuel 24.9% / 27.6% (combined 74.5% / 78.5%).** Fanatics is the only material share-taker (#3, 9.9% of handle, handle +34.5% YoY); BetMGM 7.7% (-3.2%), Caesars 3.4%, theScore Bet (ex-ESPN Bet) 2.8% (-11.9%), Bally Bet 0.6%. DraftKings' home-state advantage and 10.5% hold give it $312m of 9M revenue in one state.
- **Land-based casinos are flat-to-down: 9M GGR $879.8m (-2.4%).** Encore Boston Harbor $529.2m (-4.7%; September -22.1% to $46.1m, both tables and slots down), MGM Springfield $214.6m (+1.1%), Plainridge Park slots parlor $136.0m (+1.1%). September casino GGR of $82.7m (-13.6%) was the weakest September since 2020. MGC publishes no commentary; the Encore drop is unexplained and a watch item.
- **Tax regime — GGR-based, no promotional deductions, with negative-month carry-forward.** Online sports (Category 3) 20% of adjusted gross sports wagering receipts; retail (Cat 1/2) 15%; Category 1 resort casinos 25% of GGR; Category 2 slots parlor 49%; DFS 15% of net adjusted receipts. Effective 9M rates: sports 19.96%, casino 28.7% (blend). Federal 0.25% excise is deductible; promo credits are not (per 23N §3 definition quoted in the MGC glossary).
- **Tax take 9M 2026 $374.6m (+0.5%): sports $122.0m (+6.0%), casino $252.6m (-2.0%).** Plainridge pays $66.7m on $136m GGR (49% rate) versus MGM Springfield's $53.6m on $215m. September alone: $38.4m total (+1.6%). FY2025 sports tax was ~$168m; the 51% proposal would, on 2025 revenue, lift it to ~$430m (estimate, static).
- **Licensing is closed and capped.** Expanded Gaming Act 2011 (G.L. c.23K): max three Category 1 resort casinos (only two awarded — Region C never licensed) and one Category 2 slots parlor. Sports Wagering Act 2022 (G.L. c.23N): up to 15 online licences — 8 tethered to land-based partners (2 per casino, 1 per racetrack) and 7 untethered — but only 7 online books are live, so roughly 8 slots sit unused [slot arithmetic unverified this session]. Licence fee is $5m per 5-year term [unverified this session]; first licences expire 2028, putting renewals on a 2027–28 timetable.
- **The tax-hike / product-ban bill is live but not enacted.** Sen. John Keenan's S.302 'Bettor Health Act' cleared its Senate committee 5-0 in March 2026: online tax 20%→51%, ban on player props and in-game betting, ban on sports betting ads during televised games, affordability checks tied to account balances. No enactment was found before the 31 Jul 2026 end of formal session [status unverified]; expect a refile in January 2027 with the same sponsor and a more receptive AG.
- **iGaming is off the table until at least the 2027–28 session.** H.4431 (Rep. Muradian), which would have created Chapter 23O and let the three casino licensees offer online slots/tables via the MGC, was sent to study by the Joint Committee on Economic Development and Emerging Technologies on 16 Mar 2026 — procedurally dead. Sweepstakes casinos remain unregulated and untouched; the MGC says it does not regulate them.
- **Prediction markets are being pushed out — a defensive positive for licensees.** AG Campbell sued Kalshi (Sept 2025); Suffolk Superior Court granted a preliminary injunction (20 Jan 2026) barring sports event contracts to Massachusetts customers and denied a stay (Feb 2026); Kalshi's appeal was argued at the Supreme Judicial Court on 4 May 2026 with 38 state AGs filing in support. The SJC outcome could not be verified as of 6 Nov 2026 — it is the single biggest near-term swing factor for licensed handle.

- **Enforcement is frequent, granular and public.** 13 event-catalog penalties in 2026 to date ($5,000–$25,000; MGM Springfield $25,000 in June, Caesars $10,000 in March) after a $60,000 BetMGM penalty in Dec 2025 (incl. 2,564 prohibited soccer-card wagers). The 5 Nov 2026 agenda adds briefings on Fanatics (refer-a-friend bonuses; failure to send limit notices), BetMGM (out-of-state wagers), FanDuel (proxy wagering) and penalty votes on Caesars (unauthorised events, one involving a Massachusetts college team) and MGM Springfield.
- **First-in-US bettor-limitation transparency rule.** Adopted 5-0 on 26 Feb 2026 and effective 1 Jun 2026, operators that limit an account must tell the patron why and which markets are affected (205 CMR 238.30(11)); 205 CMR 255 play-management (bettor-set limits, monthly notifications) goes to final adoption on 5 Nov 2026. This directly constrains the risk-management playbook that underpins 10%+ holds.
- **Responsible-gambling and advertising rules are strict and statutory.** Minimum age 21; no wagering on in-state college teams outside tournaments of four-plus teams; no high-school events; credit-card funding of sports accounts prohibited [per 23N, unverified this session]; MGC advertising code (205 CMR 256) bars targeting under-21s and college campuses; unified Voluntary Self-Exclusion across casinos and sports; GameSense and PlayMyWay at casinos. A 'Youth Sports Betting Safety Coalition' run by the AG adds political pressure.
- **Lottery has gone digital, adding a state-owned online competitor.** The Massachusetts Lottery launched iLottery (online tickets and e-instants, 21+, Aristocrat Interactive platform) on 27 Jul 2026, two years after FY25 budget authorisation. The Lottery is already one of the largest per-capita in the US (FY sales and profit figures not verified in this session) and will now compete for the same mobile wallet as sports and any future iGaming.
- **DFS is shrinking as pick'em migrates to sportsbooks.** September 2026 gross fantasy receipts $11.5m (-35% YoY), net adjusted receipts $1.66m (-42%), tax $0.25m at 15%. In Sept 2025 DraftKings was $9.3m of $17.8m gross, PrizePicks $3.8m, Underdog $1.7m; the 2026 report no longer itemises operators in the summary.
- **Read-through for B2Tech: a licence is theoretically obtainable, a business is not.** Entry would require either an untethered Category 3 award through a reopened MGC process or a tethered skin from Encore/MGM/the racetracks, a $5m fee, 20% GGR tax with no promo deduction, a limit-notification regime, and a market where the top two hold 78.5% of revenue and the #3–#7 share $127m of 9M revenue between them. Massachusetts is a market to serve via B2B/platform supply to an incumbent or to monitor for iGaming (2027+), not to enter as a B2C sportsbook.

2 MARKET SUMMARY

US $M (MGC-REPORTED; GGR-BASIS)	9M-26	9M-25	YOY	SEP-26	SEP YOY
SPORTS WAGERING (G.L. C.23N)					
Handle (wagers settled) — total	5,994.3	5,877.1	+2.0%	772.9	-3.4%
Online (Category 3)	5,927.0	5,793.7	+2.3%	766.0	-3.0%
Retail (3 casino sportsbooks)	67.3	83.4	-19.4%	6.9	-37.7%
Taxable sports wagering revenue — total	**611.4**	**577.0**	**+6.0%**	**71.2**	**+36.0%**
Online	606.2	572.3	+5.9%	70.9	+36.4%
Retail	5.2	4.7	+11.7%	0.3	-15.8%
Hold % (taxable revenue / handle)	10.20%	9.82%	+38bp	9.21%	+267bp
Online share of sports handle / revenue	98.9% / 99.1%	98.6% / 99.2%		99.1% / 99.5%	
LAND-BASED CASINOS (G.L. C.23K)					
Casino GGR — total (tables + slots)	**879.8**	**901.8**	**-2.4%**	**82.7**	**-13.6%**
Encore Boston Harbor (Cat 1, 25%)	529.2	555.1	-4.7%	46.1	-22.1%
MGM Springfield (Cat 1, 25%)	214.6	212.2	+1.1%	22.0	-1.2%
Plainridge Park Casino (Cat 2 slots, 49%)	136.0	134.6	+1.1%	14.6	+2.4%
MARKET TOTALS					
Combined taxable gaming revenue (SW + casino)	**1,491.3**	**1,478.8**	**+0.8%**	**153.9**	**+4.0%**
Online share of combined revenue	40.7%	38.7%	+2.0pp	46.1%	
DFS net adjusted receipts (15% tax) [9M DFS totals not published in the summary report]	n/a	n/a		1.66	-42.5%
TAX TAKE					
Sports wagering tax (20% online / 15% retail)	122.0	115.2	+6.0%	14.2	+36.1%
Casino tax (25% / 49%)	252.6	257.7	-2.0%	24.2	-11.6%
Total taxes collected (ex-DFS)	**374.6**	**372.9**	**+0.5%**	**38.4**	**+1.6%**
Effective rate — sports / casino	19.96% / 28.7%	19.96% / 28.6%		19.98% / 29.3%	
STRUCTURE					
Licensed online sportsbooks (live)	7	7	ESPN Bet→theScore Bet	7	
Retail sportsbooks / casinos	3 / 3	3 / 3		3 / 3	
Tax base	GGR (adjusted gross receipts; no promo deduction; negative carry-forward)				
Licence fee — sports wagering	$5m per 5-year term [unverified this session]				
Licence fee — casino	Cat 1 $85m / 15 yrs; Cat 2 $25m / 5 yrs [unverified this session]				

3 DEEP-DIVE — SPORTS WAGERING — ONLINE (CATEGORY 3) AND RETAIL

Handle +2.0% to $5.99bn, revenue +6.0% to $611m on a 10.2% hold; DraftKings/FanDuel hold 78.5% of revenue and the only share mover is Fanatics.

HANDLE

9M 2026 wagers settled were $5,994.3m, up 2.0% on $5,877.1m, with online +2.3% and retail -19.4%.

- Online handle $5,927.0m (+2.3%); retail $67.3m (-19.4%); Sept 2025 handle later revised from $800.26m to $800.46m.
- Monthly handle ran $813m in January, 2026 low of $571m in August, rebounded to $773m in September with the NFL.
- September was still 3.4% below the record $800m of September 2025.
- Quarterly pattern Q1 -1.4%, Q2 +2.5%, Q3 +5.5% shows modest re-acceleration, helped by comparison base rather than new demand driver.

REVENUE AND HOLD

Taxable revenue was $611.4m, +6.0%, on a 10.20% hold versus 9.82% in 9M 2025; the growth spread is entirely hold.

- Taxable revenue is gross receipts less winnings paid and federal excise; promotional credits are not deductible.
- Q1 hold 10.36%; Q2 10.73% yet revenue -1.0% YoY on a tough comp; Q3 9.49% (+17.7%) against September 2025 hold of 6.5%.
- September 2026 revenue $71.2m (+36.0%) and tax $14.2m (+36.1%) say more about results and parlay mix than market expansion.
- FY2025 revenue $841.7m on $8,529m handle (9.87% hold); LTM to September 2026 $876.2m on $8,646m.

OPERATOR STRUCTURE

DraftKings and FanDuel hold 74.5% of handle and 78.5% of revenue; Fanatics is the only operator gaining meaningfully.

- DraftKings: $2,966.8m handle (49.5%), $312.3m revenue (50.8%), 10.5% hold, $62.5m tax; FanDuel: $1,494.7m (24.9%), $169.8m (27.6%), 11.4% hold.
- Fanatics (tethered to Plainridge Park) handle +34.5% to $592.7m (9.9%), revenue +43% to $49.7m, at an 8.4% hold suggesting it is still buying share.
- BetMGM slipped 3.2% to $460.2m (7.7%); Caesars grew 10.1% to $204.4m but at 6.8% hold earns only 2.3% of revenue.
- theScore Bet (Penn's replacement for ESPN Bet from late 2025) fell 11.9% to $167.0m; Bally Bet is sub-scale at $37.2m.
- Five books outside the duopoly shared $127.1m revenue over nine months, roughly $25m each before 20% tax and marketing.

RETAIL

Retail is a rounding error and shrinking: $67.3m handle for $5.2m revenue across three casino sportsbooks.

- Encore $33.1m handle, Plainridge $24.8m, MGM Springfield $9.4m; MGM Springfield booked zero taxable revenue in several months as negative results carried forward under 23N.
- No Category 2 (racetrack/simulcast) retail sportsbook is reporting revenue.
- Retail matters only because each casino licence carries up to two online skins and racetracks one each — the tether route for Caesars, BetMGM, Fanatics and theScore Bet.

DEMAND-SIDE RULES

Massachusetts' 10%+ holds are earned under a regulator actively policing the tools used to protect that hold.

- Bettors must be 21+; in-state college teams off-limits outside tournaments of four or more teams; high-school events banned.
- MGC event catalog enforced wager-by-wager; officiating markets such as soccer cards prohibited since December 2023.
- From 1 Jun 2026 any limited account must receive a notice stating the reason and markets affected; Fanatics already faces a non-compliance briefing.

COMMERCIAL OPPORTUNITY

Massachusetts is high-ARPU, low-growth; absent a differentiated product or casino-tether partnership, the economics for a new entrant do not clear.

- ~$845 of handle per resident over nine months (estimate, ~7.1m population), with handle growth below US averages.
- Incremental opportunity for a new Category 3 entrant is the ~21% of revenue not held by DraftKings/FanDuel, against four well-funded national brands.
- 20% GGR tax and a $5m five-year licence fee [fee unverified this session].

US $M, 9M 2026 (JAN–SEP) BY LICENSEE	HANDLE	SHARE	TAXABLE REV.	REV. SHARE	HOLD %	TAX PAID	HANDLE YOY
DraftKings (untethered)	2,966.8	49.5%	312.3	50.8%	10.5%	62.5	+1.2%
FanDuel (untethered)	1,494.7	24.9%	169.8	27.6%	11.4%	34.0	-2.5%
Fanatics (tethered: Plainridge)	592.7	9.9%	49.7	8.1%	8.4%	9.9	+34.5%
BetMGM (tethered: MGM Springfield)	460.2	7.7%	45.0	7.3%	9.8%	9.0	-3.2%
Caesars (tethered: Encore)	204.4	3.4%	13.9	2.3%	6.8%	2.8	+10.1%
theScore Bet (ex-ESPN Bet; Plainridge)	167.0	2.8%	15.0	2.5%	9.0%	3.0	-11.9%
Bally Bet (untethered)	37.2	0.6%	3.4	0.6%	9.2%	0.7	-4.3%
Total online (Cat 3, 20%)	**5,927.0**	**98.9%**	**606.2**	**99.1%**	**10.2%**	**121.2**	**+2.3%**
Encore Boston Harbor retail	33.1	0.6%	2.3	0.4%	6.9%	0.3	-23.4%
Plainridge Park retail	24.8	0.4%	2.4	0.4%	9.7%	0.4	-14.4%
MGM Springfield retail	9.4	0.2%	0.6	0.1%	6.0%	0.1	-16.3%
Total retail (Cat 1, 15%)	**67.3**	**1.1%**	**5.2**	**0.9%**	**7.8%**	**0.8**	**-19.4%**
Total sports wagering	**5,994.3**	**100%**	**611.4**	**100%**	**10.2%**	**122.0**	**+2.0%**
MONTHLY 2026 HANDLE / REVENUE							
Jan / Feb / Mar	813.0 / 619.9 / 699.1		79.4 / 76.1 / 65.4		9.8 / 12.3 / 9.4		
Apr / May / Jun	678.4 / 632.1 / 615.1		81.8 / 70.6 / 54.3		12.1 / 11.2 / 8.8		
Jul / Aug / Sep	592.6 / 571.2 / 772.9		65.6 / 47.1 / 71.2		11.1 / 8.2 / 9.2		

4 DEEP-DIVE — LAND-BASED CASINOS — ENCORE BOSTON HARBOR, MGM SPRINGFIELD, PLAINRIDGE PARK

9M GGR $879.8m (-2.4%) and tax $252.6m (-2.0%); Encore's September slump (-22%) drags an otherwise flat market.

9M GGR

9M 2026 GGR was $879.8m (-2.4% from $901.8m) with taxes of $252.6m (-2.0%); the base has been flat around $1.2bn for four years.

- Encore Boston Harbor (Wynn; Region A Category 1) is 60.2% of the market at $529.2m but fell 4.7%.
- MGM Springfield (Region B Category 1) grew 1.1% to $214.6m; Plainridge Park Casino (Penn; Category 2 slots-only) grew 1.1% to $136.0m.
- FY2025 casino GGR $1,195m; LTM to September 2026 $1,173m.
- September GGR: 2022 $95.8m, 2023 $93.8m, 2024 $92.1m, 2025 $95.7m, 2026 $82.7m.

SEPTEMBER WEAKNESS

September 2026 GGR of $82.7m (-13.6%) was the lowest September since 2020, driven by Encore at $46.1m (-22.1%).

- Encore table GGR $19.1m versus $23.9m and slots $26.9m versus $35.3m a year earlier.
- MGM Springfield $22.0m (-1.2%); Plainridge $14.6m (+2.4%).
- MGC report gives no explanation; a one-month table-hold swing cannot explain a 24% slot decline, so check for property-specific disruption before extrapolating.
- Monthly 2026 GGR otherwise ran $92m–$108m, peaking in March ($107.8m) and May ($105.9m).

TAX STRUCTURE

Tax is punitive and asymmetric: Category 1 resorts pay 25% of GGR, the Category 2 slots parlor 49%; blended effective rate is 28.7%.

- Plainridge remitted $66.7m on $136.0m of GGR in 9M 2026, more than MGM Springfield's $53.6m on $214.6m; Encore paid $132.3m.
- Casino tax allocated by statute across local aid, transportation, education, debt reduction and the Public Health Trust Fund (percentages not reproduced here).

LICENSING CLOSED

No realistic greenfield land-based entry exists; the only route for a new operator is M&A of an existing licensee.

- Expanded Gaming Act (2011) capped the Commonwealth at three resort-casino licences (one per region) and one slots parlor; Region C was never awarded.
- The Mashpee Wampanoag tribal project that complicated Region C has not produced a casino.
- Category 1 licences were $85m for 15 years and Category 2 $25m for five years [fee/term figures unverified this session].
- First resort-casino renewals fall in 2033–34 (MGM Springfield opened Aug 2018, Encore Jun 2019); Plainridge is on a rolling five-year cycle.

RELEVANCE TO ONLINE

For an online-first operator, a casino partnership is the tether route for sports skins and the likely gateway to any future iGaming market.

- Each casino licence carries up to two online sports skins.
- If Chapter 23O is ever enacted, the shelved H.4431 text would have restricted iGaming licences to existing casino licensees.

US $M, CASINO GGR AND TAX	9M-26	9M-25	YOY	SEP-26	SEP-25	SEP YOY
Encore Boston Harbor — GGR	529.2	555.1	-4.7%	46.1	59.1	-22.1%
of which tables / slots (Sep)				19.1 / 26.9	23.9 / 35.3	-19.8% / -23.7%
Encore — tax (25%)	132.3	138.8	-4.7%	11.5	14.8	-22.1%
MGM Springfield — GGR	214.6	212.2	+1.1%	22.0	22.3	-1.2%
of which tables / slots (Sep)				3.4 / 18.5	4.3 / 18.0	-19.3% / +3.0%
MGM — tax (25%)	53.6	53.1	+1.1%	5.5	5.6	-1.2%
Plainridge Park — GGR (slots only)	136.0	134.6	+1.1%	14.6	14.3	+2.4%
Plainridge — tax (49%)	66.7	65.9	+1.1%	7.2	7.0	+2.4%
Total casino GGR	**879.8**	**901.8**	**-2.4%**	**82.7**	**95.7**	**-13.6%**
Total casino tax	**252.6**	**257.7**	**-2.0%**	**24.2**	**27.4**	**-11.6%**
Market share — Encore / MGM / PPC	60.2% / 24.4% / 15.5%	61.6% / 23.5% / 14.9%		55.7% / 26.6% / 17.7%		
Cumulative casino taxes since opening (MGC, Sep 2025) Per MGC press release 22 Sep 2025 (snippet); not updated for 2026	~$2.22bn (to Sep 2025)					

5 DEEP-DIVE — LOTTERY, DFS AND THE UNREGULATED FRINGE (ILOTTERY, SWEEPSTAKES, PREDICTION MARKETS)

iLottery live since 27 Jul 2026, DFS shrinking (-42% net receipts in Sep), sweepstakes untouched, Kalshi enjoined pending the SJC.

ILOTTERY

The State Lottery launched online sales and e-instant games on 27 Jul 2026, creating a state-owned digital competitor in a state with no legal online casino.

- Platform is Aristocrat Interactive; launch came two years after the FY2025 budget authorised iLottery and after slipping from a late-2025 target.
- Play restricted to 21+, aligning with casino and sports rules.
- Historically one of the highest per-capita lotteries in the US and the state's largest gambling revenue source (FY figures not verified, omitted).
- Lottery revenue is not reported through the MGC and does not appear in the figures above.

DAILY FANTASY SPORTS

DFS is shrinking — September 2026 net adjusted receipts $1.66m (-42.5%) — and is a sub-$5m-a-year tax line, no longer a strategic channel.

- Regulated by registration with the MGC and taxed at 15% of net adjusted gross fantasy receipts under the 2022 sports wagering law.
- September 2026 gross receipts $11.5m (-35.4% YoY); tax $0.25m.
- In September 2025 DraftKings accounted for $9.3m of $17.8m gross receipts, PrizePicks $3.8m and Underdog $1.7m.
- Decline consistent with pick'em-style products migrating into licensed sportsbooks' parlay menus.

SWEEPSTAKES CASINOS

Sweepstakes-model casinos are the de facto online casino in Massachusetts today, untaxed, unmeasured and unregulated by the MGC.

- Not addressed when H.4431 was sent to study in March 2026; trade sources count 25+ accessible sites.
- Attorney General issued cease-and-desist letters to two offshore casino/sports operators in June 2025, signalling appetite to act under existing law.
- No sweepstakes-specific statute or enforcement wave emerged in 2026.

PREDICTION MARKETS

Kalshi is enjoined from accepting Massachusetts sports contracts pending the SJC; the outcome decides whether a zero-tax competitor re-enters.

- AG Campbell sued KalshiEX in September 2025, alleging unlicensed sports wagering dressed as event contracts (moneyline, spread and totals contracts).
- Suffolk Superior Court granted a preliminary injunction on 20 Jan 2026 until licensed by the MGC; emergency stay denied in February.
- Appeal argued before the Supreme Judicial Court on 4 May 2026; 38 attorneys general filed in support of the Commonwealth; decision not verified as of 6 Nov 2026.
- If upheld, Massachusetts becomes a template for excluding CFTC-regulated sports contracts; if reversed, a no-licence competitor re-enters against a 20%-taxed market.

OPERATOR IMPLICATION

The AG's posture protects licensed handle from prediction markets, but the same office frames all sports betting as a public-health harm.

- The AG backs the Keenan bill's restrictions.
- The enforcement energy that removes Kalshi is the same energy that proposes a 51% tax.

US $M UNLESS STATED	SEP-26	SEP-25	YOY	STATUS / NOTE
DFS gross fantasy wagering receipts	11.48	17.77	-35.4%	Registered operators; MGC-reported
DFS net adjusted receipts (tax base)	1.66	2.88	-42.5%	15% tax
DFS tax collected	0.25	0.43	-42.5%	
iLottery (online lottery)	n/a	—		Launched 27 Jul 2026; 21+; Aristocrat Interactive; revenue not in MGC data
Sweepstakes casinos	n/a	n/a		Unregulated; no 2026 ban; 25+ sites (trade estimate)
Kalshi / prediction markets	enjoined	operating		PI 20 Jan 2026; SJC argued 4 May 2026; ruling [unverified]
Legal online casino (iGaming)	none	none		H.4431 (Ch. 23O) sent to study 16 Mar 2026

6 DEEP-DIVE — LICENSING AND TAX REGIME

Capped, closed licensing; GGR-based taxes of 20%/15% (sports), 25%/49% (casino), 15% (DFS); S.302 would take online sports to 51%.

STATUTORY FRAMEWORK

Two statutes define a capped, closed market: c.23K (2011) for casinos and c.23N (2022) for sports wagering with 15 online slots, seven live.

- c.23K created the five-member MGC (chair Jordan Maynard, appointed by Governor Healey October 2024); authorised three Category 1 resorts and one Category 2 slots parlor; only Regions A and B licensed.
- H.5164 (signed 10 Aug 2022) created Category 1 (casinos; retail plus up to two skins), Category 2 (racetracks; retail plus one skin), Category 3 (untethered online, capped at seven).
- Retail launched 31 Jan 2023, online 10 Mar 2023; 15 online operators permitted (8 tethered, 7 untethered), seven live, implying material unused capacity [slot arithmetic unverified].
- Sports licences run five years at a $5m fee [unverified this session], so first renewals fall in 2028.

TAX BASES AND RATES

All taxes are gross-revenue measures with no promotional deduction: 20%/15% sports, 25%/49% casino, 15% DFS.

- Adjusted gross sports wagering receipts are total gross receipts less winnings paid and federal excise (0.25% of handle), per c.23N §3.
- Negative months are carried forward against later months, visible in MGM Springfield's zero-tax months.
- 9M 2026 sports collections were $121.2m online (20%) and $0.8m retail (15%).
- Sports tax distributed by statute to the General Fund, Gaming Local Aid, Workforce Investment Trust, Public Health Trust and Youth Development funds (percentages not verified).

S.302 TAX THREAT

Senator Keenan's 'Bettor Health Act' would raise the online rate from 20% to 51%, ban props and in-game wagers, and restrict advertising.

- Reported out of committee 5-0 in March 2026; 51% matches New York, Rhode Island and New Hampshire.
- Would bar sports betting advertising during televised games and require affordability assessments tied to account balances; trade reports cite a $1,000 daily wager cap (lower reliability).
- No enactment found before the formal session ended 31 Jul 2026 [status unverified].
- Static calculation on FY2025 revenue of $842m implies state sports tax rising from ~$168m to ~$430m (estimate), but product bans would shrink the base since parlays and props drive the 10%+ hold.

IGAMING LEGISLATION

H.4431 was sent to study unanimously on 16 Mar 2026, effectively ending iGaming for the 2025–26 session; earliest realistic enactment is 2027–28.

- H.4431 (Rep. David Muradian) would have added Chapter 23O and limited online casino licences to existing casino operators via the MGC.
- Headwinds: the Lottery's new iLottery and problem-gambling concerns; tailwind: the state's budget appetite.

> *"started the conversation"* — **Supporters**

B2TECH IMPLICATIONS

A B2C sports licence is a $5m, five-year, 20%-GGR proposition with a credible path to 51% and product restrictions.

- A casino tether is the only route to a future iGaming licence as currently drafted.
- The regulator's 2026 enforcement cadence — penalties of $5,000–$60,000 are small but public and frequent — adds compliance cost disproportionate to revenue available outside the duopoly.

REGIME SUMMARY (STATUTE / REGULATION)	CURRENT RULE	BASE / TERM	PENDING CHANGE	SOURCE
Online sports tax (Category 3)	20%	Adjusted gross SW receipts (GGR); no promo deduction; negative carry-forward	S.302: 51% (committee-approved Mar 2026; not enacted)	G.L. c.23N; MGC revenue page
Retail sports tax (Category 1/2)	15%	Same base	S.302 (unclear whether retail changes)	G.L. c.23N
Casino tax — Category 1 resorts	25%	Gross gaming revenue (tables + slots)	None	G.L. c.23K; MGC
Casino tax — Category 2 slots parlor	49%	Gross gaming revenue	None	G.L. c.23K; MGC
DFS tax	15%	Net adjusted gross fantasy receipts	None	c.23N / c.12 §11M½
Online sports licences	Up to 15 (8 tethered + 7 untethered); 7 live	$5m / 5 years [unverified]; first expiries 2028	Reopening of RFA at MGC discretion	MGC; LSR
Casino licences	Max 3 Cat 1 + 1 Cat 2; 2 Cat 1 + 1 Cat 2 awarded	Cat 1 $85m / 15 yrs; Cat 2 $25m / 5 yrs [unverified]	Region C unawarded	G.L. c.23K
Online casino (iGaming)	Not legal	—	H.4431 (Ch. 23O) sent to study 16 Mar 2026; earliest 2027–28	Boston.com / CDC Gaming
Minimum age	21 (casino, sports, DFS, iLottery)		None	
College wagering	No in-state teams unless tournament of 4+ teams; no high school		S.302 would also ban props	c.23N §3; LSR
9M-26 tax collected — sports / casino / total	$122.0m / $252.6m / $374.6m			MGC Sep-2026 report (summed)

7 DEEP-DIVE — PAYMENTS, RESPONSIBLE GAMBLING, ADVERTISING AND ENFORCEMENT

Credit cards barred, 21+, first-in-US limit-notice rule from 1 Jun 2026, and an enforcement docket that touches every major operator.

PAYMENTS AND GEOLOCATION

Credit-card funding is barred and geolocation must place the bettor in-state; BetMGM and FanDuel face 5 Nov 2026 briefings.

- Credit cards barred [per c.23N; not re-verified]; deposits via debit, ACH/online banking, PayPal-type wallets, prepaid cards and cash at casino cages; no mobile-money dimension.
- BetMGM allegedly accepted out-of-state wagers under c.23N §13(b) and 205 CMR 243/247.
- Proxy wagering prohibited (c.23N §11(a); 205 CMR 248.17); FanDuel briefing follows a podcaster's on-air admission that a relative bet through his account, self-reported and voided.

RESPONSIBLE GAMBLING

The MGC adopted a first-in-US rule (205 CMR 238.30(11)) requiring operators to notify limited patrons of the reason and markets, effective 1 Jun 2026.

- One Voluntary Self-Exclusion list covers casinos, sports or both; GameSense advisors and PlayMyWay at casinos; mandatory play-management tools online.
- Rule adopted 5-0 on 26 Feb 2026; Fanatics already cited for alleged non-compliance.
- On 5 Nov 2026 the Commission votes final adoption of amended 205 CMR 255, moving limit-reminder cadence to monthly/30 days.
- The Keenan bill would add affordability checks against account balances and, per trade reports, a daily wager cap.

ADVERTISING

Advertising under 205 CMR 256 is already restrictive and the direction of travel is tighter.

- No content appealing to or depicting under-21s, no college campus advertising or partnerships, mandatory problem-gambling messaging, restrictions on inducement language.
- AG's Youth Sports Betting Safety Coalition (formed March 2024) and S.302's proposed ban on ads during televised games signal tightening.
- Fanatics' refer-a-friend bonuses are alleged to breach 205 CMR 247.09(4).

ENFORCEMENT

Enforcement is routine: 13 sports wagering penalties in 2026, all event-catalog breaches, from $5,000 to $25,000, following a $60,000 BetMGM penalty.

- MGC 2026 table (updated 24 Aug 2026): MGM Springfield $25,000 on 22 Jun 2026; Caesars $10,000 on 12 Mar 2026.
- December 2025 BetMGM $60,000 penalty bundled six matters including 2,564 prohibited soccer-card wagers.
- 5 Nov 2026 meeting (No. 601) adds Caesars (unauthorised events, one involving a Massachusetts collegiate team) and MGM Springfield (unapproved offering) penalty votes.
- Fines are immaterial financially but each generates a public decision and press cycle, and repeat findings feed into the 2028 licence-renewal record.

OPERATOR IMPLICATION

Compliance is a standing cost centre that scales with headcount, not revenue — a meaningful drag for a sub-5%-share operator.

- Covers event-catalog controls, geofencing, promotional-term review and limit-notice workflows.
- A sub-5%-share operator would yield perhaps $15–25m of annual GGR in the state.

RULES AND 2026 ENFORCEMENT (US $)	RULE / ACTION	DETAIL	DATE / STATUS
Minimum age	21+ for casino, sports, DFS and iLottery	In force	
Credit-card funding of sports accounts	Prohibited [per c.23N; not re-verified this session]	In force	
Geolocation / in-state requirement	c.23N §13(b); 205 CMR 243.01, 247.07(6)	BetMGM briefing 5 Nov 2026	
Proxy wagering	Prohibited — c.23N §11(a); 205 CMR 248.17	FanDuel briefing 5 Nov 2026	
Bettor limit-notification rule	205 CMR 238.30(11): reason + affected markets; first in US	Adopted 26 Feb 2026; effective 1 Jun 2026	
Play-management regulation	205 CMR 255 amendments (monthly reminders)	Final adoption vote 5 Nov 2026	
Advertising code	205 CMR 256: no under-21 appeal, no campus/college partnerships, RG messaging	In force; S.302 would ban ads during televised games	
Promotional offers	205 CMR 247.09(4) — refer-a-friend bonuses alleged breach	Fanatics briefing 5 Nov 2026	
Event-catalog penalties 2026 (13)	$5,000–$25,000 each; MGM Springfield $25,000 (22 Jun); Caesars $10,000 (12 Mar)	Table updated 24 Aug 2026	
BetMGM penalty	$60,000 for six matters incl. 2,564 soccer-card wagers	Dec 2025	
Pending penalty votes	Caesars ×2 (unauthorised events; MA college team); MGM Springfield (unapproved offering)	5 Nov 2026	
AG actions	Kalshi suit (Sep 2025) → PI (Jan 2026) → SJC (May 2026); C&D letters to two offshore operators (Jun 2025)	Ongoing	

8 HIGHLIGHTS & LOWLIGHTS

▲ HIGHLIGHTS

- Premium monetisation: 9M 2026 hold of 10.2% (FanDuel 11.4%, DraftKings 10.5%) on a GGR tax of 20% leaves one of the better net margins among large US states — provided the product mix (parlays/props) survives S.302. structural
- Regulatory moat against prediction markets: the AG's preliminary injunction against Kalshi (Jan 2026), backed by 38 state AGs at the SJC, protects licensed handle from a zero-tax competitor if upheld. watch
- Unused licence capacity: the statute allows 15 online operators but only 7 are live; tethered skins at Encore (1), MGM Springfield (1) and the two racetracks appear available, giving a B2B/skin route without a competitive RFA [slot count unverified]. structural
- Share is still moving below the duopoly: Fanatics grew handle 34.5% to 9.9% share in 9M 2026 and Caesars +10.1%, showing a tethered challenger can take share from BetMGM/theScore Bet with product and loyalty rather than promo spend. early
- Future iGaming optionality via casino partnership: the shelved H.4431 would have confined online casino licences to the three casino licensees; a tether with Encore or MGM Springfield positions an operator for a 2027–28 reopening. early
- Stable, transparent regulator: monthly operator-level handle/revenue/tax disclosure, a fixed five-member commission, and predictable rulemaking cycles reduce execution risk relative to emerging markets. structural

▼ LOWLIGHTS

- Tax-rate cliff: S.302 (51% online tax, prop/in-play ban, TV ad ban, affordability checks) cleared committee 5-0 in March 2026 and will almost certainly be refiled in January 2027; at 51% the #3–#7 operators' combined 9M revenue of $127m would not cover marketing and compliance. structural
- Growth has stalled: handle +2.0% in 9M 2026 and -3.4% in September; Q1 was negative. The 6% revenue growth is hold-driven and reverses with results — Q2 revenue was -1.0% YoY. structural
- Duopoly lock-in: DraftKings (home state) and FanDuel hold 74.5% of handle and 78.5% of revenue; the remaining five brands average ~$25m of 9M revenue each before 20% tax. structural
- The most interventionist US regulator on risk management: mandatory limit-notification (from 1 Jun 2026), play-management rules, event-catalog penalties on every operator in 2026, and an AG who frames sports betting as a public-health harm. governance
- No iGaming before 2027–28 at the earliest, while the Lottery's iLottery (live 27 Jul 2026) and unregulated sweepstakes sites absorb the casual digital casino wallet in the meantime. structural
- Land-based weakness: casino GGR -2.4% in 9M 2026 and Encore -22% in September with no regulator commentary — relevant to any tether partner's health and to the 49%/25% tax base the state relies on. watch
- Kalshi reversal risk: if the SJC sides with Kalshi, a federally-regulated, untaxed sports-contract venue returns to Massachusetts against a 20%-taxed licensed market — the outcome was unverifiable as of 6 Nov 2026. one-off

9 FORECAST & OUTLOOK

Guidance bridge. The 9M 2026 print moves the Massachusetts base case from 'growth market' to 'mature, hold-driven market': sports handle of $5.99bn (+2.0%) and revenue of $611m (+6.0%) versus a prior-year pace of double-digit growth, with the land-based segment flat-to-down ($880m, -2.4%). The division driving the change is online sports — handle growth of 2.3% is the slowest since launch — while the swing in revenue is almost entirely a 38bp hold uplift. The moving parts for the next 12–24 months are regulatory rather than commercial: the fate of S.302 (51% tax, prop/in-play ban), the SJC's Kalshi ruling, the 2028 licence-renewal cycle, and whether iGaming is refiled in the 2027–28 session.

FY2025 SPORTS REVENUE (ACTUAL)	FY2026E SPORTS REVENUE (ESTIMATE)	FY2026E CASINO GGR (ESTIMATE)	S.302 SCENARIO — STATE SPORTS TAX
$841.7m	**~$880–900m**	**~$1,170–1,185m**	**~$430m vs ~$175m**
handle $8.53bn; hold 9.87%	+5–7%: handle ~flat to +2%, hold ~10%	-1% to -2% vs $1,195m	static 51% on FY2026E base; before product-ban base erosion

Independent view. Our independent view: **revenue grows low-to-mid single digits, not volume.** We expect FY2026 sports handle of roughly $8.5–8.7bn (estimate, ~flat to +2%) and taxable revenue of $880–900m (estimate), with Q4 dependent on NFL/NBA results; casino GGR finishes around $1.17–1.19bn (estimate). **Margins for incumbents stay attractive** at a 20% GGR tax and 10% hold, but we assign a meaningful probability (we would say roughly one-in-three over two sessions) that Massachusetts legislates some combination of a higher rate and product restrictions by 2028, given a Senate committee that voted 5-0, an AG aligned with the sponsor, and a 2028 licence-renewal window that gives the legislature leverage. **Leverage/structure direction:** expect further consolidation to five or six online brands — theScore Bet and Bally Bet are sub-scale — and expect any new entrant to arrive via a casino tether rather than a fresh Category 3 award. **iGaming**: not before 2027–28; the Lottery's iLottery and the AG's public-health framing make even that uncertain, and any bill will likely restrict licences to casino licensees. **Kalshi**: an SJC affirmance would be the most valuable regulatory development of 2026 for licensees; a reversal would be a 2027 handle headwind. For B2Tech, the actionable positions are B2B platform/content supply to an incumbent or tethered partner, and a watching brief on Chapter 23O — not a B2C sportsbook launch.

What to watch next quarter:

- Supreme Judicial Court decision in Commonwealth v. KalshiEX (argued 4 May 2026): affirmance locks prediction markets out; reversal reopens a zero-tax competitor.
- Refiling of S.302 (Bettor Health Act) in January 2027 and whether the House and Governor Healey engage — the 51% rate and prop/in-play ban would reset operator economics and the hold structure.
- Q4 2026 / FY2026 MGC revenue reports (December report due ~mid-Jan 2027): whether handle re-accelerates with the NFL/NBA season or Q1-2026-style declines return; whether Encore Boston Harbor's September slump persists.
- MGC 2027–28 licence-renewal process for the 2023 Category 1/3 sports licences (five-year terms) — renewal conditions could codify limit-notification, affordability or advertising requirements.
- Reintroduction of an iGaming bill (Chapter 23O) in the 2027–28 session and its licence-eligibility language (casino licensees only vs open).
- Sweepstakes-casino action by the AG or legislature, and iLottery's first reported sales — both affect the size of the unregulated/adjacent online casino wallet.
- MGC enforcement outcomes on 5 Nov 2026 (Fanatics, BetMGM, FanDuel, Caesars, MGM Springfield) and any escalation from five-figure penalties to licence conditions.

DATA CONFIDENCE: MEDIUM FX: n/a — Massachusetts reports in USD. HIGH confidence in all market-size, operator, casino and tax figures: they were read directly from the MGC's September 2026 and September 2025 revenue-report PDFs and summed Jan–Sep; 9M 2025 comparatives use the unrevised Sept-2025 report (operators restate small amounts — e.g., Sept-2025 handle later revised from $800.26m to $800.46m), so YoY rates may differ by ±0.1pp from restated data. The 9M 2026 online handle of $5,927m reconciles to Gaming Intelligence's '$5.92bn, +2%'. MEDIUM confidence overall because the research tools hit a usage limit mid-session: the Kalshi SJC outcome, the final post-31-Jul-2026 status of S.302, the $5m/5-year sports licence fee, casino licence fee/term figures, the credit-card funding prohibition and the statutory tax-allocation percentages are from the analyst's prior knowledge or search snippets and are flagged [unverified] in text. FY2026 figures in the forecast are analyst estimates. Lottery sales/profit and 9M DFS totals were not verified and are shown as n/a.

Sources: [Primary] Massachusetts Gaming Commission — September 2026 Revenue Report (PDF, released 20 Oct 2026; monthly Oct-2025–Sep-2026 sports and casino data, DFS, glossary) — PRIMARY; [Primary] Massachusetts Gaming Commission — September 2025 Revenue Report (PDF; monthly Oct-2024–Sep-2025 data used for 9M-2025 comparatives) — PRIMARY; [Primary] Massachusetts Gaming Commission — Revenue page (tax rates by licence category; negative carry-forward note; licensee list; tax-allocation charts) — PRIMARY; [Primary] Massachusetts Gaming Commission — Sports Wagering in Massachusetts (H.5164 signed 10 Aug 2022; licence categories; DFS registration) — PRIMARY; [Primary] Office of the Attorney General (Mass.gov) — AG Campbell secures court order blocking Kalshi from offering unlawful sports wagers (preliminary injunction; Sept-2025 suit; June-2025 cease-and-desist letters) — PRIMARY; [Primary] Massachusetts Gaming Commission — Meeting Notice and Agenda, 5 Nov 2026 (enforcement briefings; 205 CMR 255 adoption) — PRIMARY (cited via LegalSportsBetting; not read directly); [Primary] Senator John F. Keenan — Bettor Health Act (S.302) summary page — PRIMARY (snippet only); [Primary] Mass Gaming Commission on X — September 2026 revenue report post (Oct 20, 2026): $82.69m casino GGR, $71.19m sports wagering revenue — PRIMARY (snippet); [Secondary] Gaming Intelligence — 'Massachusetts online sports handle nears $6 billion for 9M 2026' (27 Oct 2026; lead article, paywalled) — SECONDARY; [Secondary] LegalSportsBetting.com — 'Massachusetts Takes Up 7 Sportsbook Enforcement Matters' (4 Nov 2026; 2026 penalty table, limit-notice rule, 205 CMR 255) — SECONDARY; [Secondary] Legal Sports Report — Massachusetts sports betting state page (launch dates; 15-licence structure; live operators; Kalshi SJC hearing 4 May 2026; S.302 committee vote) — SECONDARY; [Secondary] Boston.com — 'Massachusetts online casino bill sent to study, effectively shelved for now' (17 Mar 2026; H.4431 / Chapter 23O) — SECONDARY (snippet); [Secondary] CDC Gaming — 'Massachusetts internet casino bill halted in committee' (Mar 2026) — SECONDARY (snippet); [Secondary] SBC Americas — 'Massachusetts committee approves bill to tax sports betting at 51%' (10 Mar 2026) — SECONDARY (snippet); [Secondary] iGaming Business — Massachusetts judge denies Kalshi emergency stay (9 Feb 2026) — SECONDARY (snippet); [Secondary] WGBH — 'You can now play the state's Lottery games online, if you're 21 or older' (27 Jul 2026; iLottery launch) — SECONDARY (snippet); [Secondary] CasinoBeats — Aristocrat Interactive to power Massachusetts iLottery (27 Aug 2025) — SECONDARY (snippet); [Secondary] Focus Gaming News — Massachusetts September 2026 gaming revenue (report date 20 Oct 2026) — SECONDARY (corroboration); [Secondary] BetMassachusetts — Massachusetts sportsbooks take in $773m in September as revenue climbs 36% — SECONDARY (corroboration); [Primary] MGC press release 22 Sep 2025 — September 2025 revenue; cumulative casino taxes ~$2.218bn — PRIMARY (snippet).

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